

HOW IT WORKS: COMPOUND INTEREST AND TIME

In Chapter 1, we discussed compound interest, which is an important concept in personal finance. Here, we'll revisit that concept to illustrate the importance of investing in the long term.

This is a story about Cameron, Mitchell, and Annie. Each of them invested the same amount of money into the market, but they invested it at different points in their lives. All three put \$1,000 per month, or \$12,000 per year, into an index fund for a period of 10 years. After the 10 years had passed, they stopped investing additional money and just let the money grow with compound interest. Cameron invested the money from age 25 to 34, Mitchell invested the money from age 35 to 44, and Annie invested the money from age 45 to 54. All three were investing so they would have money for retirement. Who do you think had the most money at age 65?

Assuming all three of them averaged a 7% return on their investments, each person has \$165,797.38 after 10 years. This is not bad, considering they had only put \$120,000 into the market. The difference for Cameron, Mitchell, and Annie is how long their money will sit and accrue (gain) interest before they turn 65. Remember, Cameron's investment gained interest for 30 years; Mitchell's gained interest for 20 years; and Annie's gained interest for only 10 years. Let's take a look at Table 8.3 and Figure 8.4 to see their totals at age 65.